

Executive Summary

This project analyzed a retail customer dataset to identify key drivers of customer loyalty, customer value, promotional effectiveness, and market opportunities. Following data cleaning, records with missing review ratings were removed to ensure analytical consistency. The dataset was treated as a customer-level snapshot, where each row represents a unique customer and their most recent observed purchase.

A **Loyalty Score** was engineered using **Previous Purchases, Purchase Frequency, Review Rating, and Subscription Status** to measure long-term customer engagement and retention potential. Customers were subsequently segmented into Champion, Loyal, Regular, and At-Risk groups. In parallel, a Customer Value Score was developed **using Purchase Amount and Subscription Status to estimate revenue potential**. Combining these two dimensions enabled the identification of Ideal Customers—customers who exhibit both high loyalty and high value. Analysis revealed that repeat purchasing behavior and purchase frequency were the strongest indicators of loyalty, while higher purchase amounts and active subscriptions contributed significantly to customer value. The Ideal Customer Profile was characterized by above-average purchase history, strong engagement frequency, positive review ratings, and a higher likelihood of maintaining a subscription.

Category-level analysis identified product categories associated with stronger customer quality metrics, while **promotion analysis** showed that promotional activity could be linked to transaction outcomes but could not be reliably used to infer long-term customer loyalty due to dataset limitations. **Geographic analysis** highlighted locations with strong loyalty and value performance despite relatively smaller customer populations, suggesting potential expansion opportunities.

Key Recommendations

- Prioritize retention efforts toward Champion and High-Value customer segments, as they contribute the greatest long-term business value.
- Develop targeted upselling strategies for Loyal but Low-Value customers to increase average spend while maintaining retention.
- Focus marketing investments on underutilized high-performing locations that exhibit strong loyalty and value metrics but lower customer penetration.
- Continue monitoring promotional campaigns as a revenue-generation tool, while evaluating customer retention through loyalty-based metrics rather than promotion usage alone.
- Use the Ideal Customer Profile to guide future acquisition campaigns and improve customer targeting efficiency.

Overall, the analysis demonstrates that customer loyalty is primarily driven by sustained purchasing behavior and engagement frequency, while customer value is driven by spending patterns and subscription commitment. Combining these perspectives provides a robust framework for customer segmentation, retention planning, and market expansion decisions.